GLOBAL INTELLIGENCE

# Evening Update

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## What Changed Today

- **Oil's biggest one-day fall in months:** Brent closed at $94.70 (-8.59%) and WTI at $87.93 (-8.49%). Traders bet the Democratic sweep of the US midterms will push Washington toward ending the Iran war. Brent is down about 18% on the week. Dutch TTF gas fell as much as 6.7% to about €85/MWh.
- **Trump ties defeat to Iran war fuel prices:** He acknowledged that higher gasoline prices linked to the war contributed to the Republican loss. Democrats are already promising investigations of the administration and of people and companies close to Trump.
- **Ukraine: new talks, new casualties:** Russian and Ukrainian delegations meet Melania Trump at the White House on

Thursday. Zelensky gave her Ukraine's highest award after the Oleshky local ceasefire. Kyiv says at least 40 people died in Monday's strike on a village and about 30 may still be under rubble. It says bodycam video shows a "double-tap" attack, a second strike on rescuers.

- **Eurozone inflation detail:** ANSA reports Italy's October rate at 5.6%, with energy prices up 20.8%, against 4.0% for the euro area. ECB Governing Council member Klaas Knot, a frontrunner to succeed Christine Lagarde, said the bank must stay hawkish.
- **Rheinmetall cuts its outlook:** Germany's largest arms maker no longer expects a big Bundeswehr tank order this year, and a cruise-missile partnership is behind plan. Handelsblatt says the shares reacted sharply.
- **Italy's Lega splits:** Signatures are being collected to oust Massimiliano Romeo as Senate group leader. The budget rapporteur changed to Gusmeroli, and pressure on Economy Minister Giorgetti is growing.

- **European Parliament softens 2035 car rule:** Il Sole 24 Ore reports a first parliamentary vote backing a lower fleet-wide CO2 cut for 2035, 87.5% instead of 100%.
- **Cyber:** A French bank, Crédit Mutuel Arkéa, confirmed a heist of an estimated $133m through a compromised supplier. A video claiming the freezer attacks has not settled the case.

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## Europe & Italy

### Lega turns on its Senate leader as the budget moves

Signatures are circulating in the Lega to remove Massimiliano Romeo as Senate group leader, ANSA reports. Romeo says he will resist. The budget bill's rapporteur has changed too: Mario Gusmeroli takes over, and pressure on Giorgetti is rising.

**Why it matters:** The Lega is a core government party and Giorgetti runs the budget. An internal fight during the budget session can slow amendments and weaken the coalition's message.

**Watch:** Whether the signature drive reaches a formal vote in the Senate group.

*Sources: ANSA*

## Italian inflation and a tighter BTP spread

ANSA reports that Italian inflation reached 5.6% in October, with energy up 20.8%. The euro-area rate is 4.0%, up from 3.8%. The BTP-Bund spread, the gap between Italian and German 10-year yields, narrowed to 104.2 basis points. The BTP yields 4.3% and the Bund 3.2%.

**Why it matters:** Energy drives the rise, so cheaper oil and gas would ease it. Klaas Knot told Bloomberg the ECB will likely have to stay hawkish and watch for inflation shocks.

**Market impact:** A tighter spread helps Italy's debt costs and banks. The FTSE MIB ended flat at 49,942 (-0.01%), while the Euro Stoxx 50 lost 0.51%.

**Watch:** Rome's request to use the EU escape clause for defence and energy goes to finance ministers around 9 November.

*Sources: ANSA, ANSA, Bloomberg*

## Electrolux deal and Rheinmetall's warning

Meloni called the Electrolux agreement an important step for protecting Italian industry. The government will monitor compliance. In

Germany, Rheinmetall said it no longer expects a large tank order from the Bundeswehr this year.

**For Europe & Italy:** Slow procurement hits European defence budgets and suppliers. Italy's Leonardo is a partner of Rheinmetall in a tank programme, though today's report does not mention it.

*Sources: ANSA, Handelsblatt*

### EU car rules and Ukraine's accession

A first parliamentary vote backs cutting the 2035 car-fleet CO2 target from 100% to 87.5%. Other reporting says a plenary vote could come in December, and the Council votes afterwards. Separately, the FT says Brussels suggests different dates for finishing membership talks with Ukraine and Moldova, which applied together. Ukraine now trails Moldova.

**Why it matters:** The car vote is a major concession to carmakers. The accession split shows the EU's caution on Ukraine.

*Sources: Il Sole 24 Ore, FT*

### Freezer attacks and a French bank heist

NoName and Z-Peintest claimed the freezer attacks in a video that arrived more than three weeks after the first incidents. Il Sole 24 Ore

says authorities are not ruling out a decoy or a state actor behind the French cases. Italy's national cybersecurity agency (ACN) renewed its call for urgent checks of refrigeration systems. Separately, Crédit Mutuel Arkéa confirmed attackers made transfers from the bank's own account after compromising a supplier, an estimated $133m.

*Sources: Il Sole 24 Ore, Il Sole 24 Ore, The Record*

## World

### US: Democrats prepare for power

Bloomberg describes Democrats sweeping into Congress on cost-of-living anger and the Iran war. Trump conceded the gasoline-price link. Schumer expects to be elected Senate majority leader, per Handelsblatt. Democrats are preparing investigations of Trump's circle and of the administration's cuts to the cyber agency CISA, and Senate Democrats will control confirmation hearings for security chiefs. Canada, which hopes for tariff relief, has resumed trade talks with Washington. Its September trade surplus widened to C$5.35bn on energy and gold exports.

**Why it matters:** From January, Congress can investigate and block legislation, but Trump keeps control of tariffs and military decisions. The FT reports his diesel arrangement with Russia has faltered: two tankers changed course as US fuel supplies hit a 20-year low.

*Sources: Bloomberg, Handelsblatt, BBC, FT*

## Russia and Ukraine: talks and a deadly strike

Russian and Ukrainian delegations meet Melania Trump at the White House on Thursday. The White House announced on 23 October that she helped broker a local ceasefire in Russian-occupied Oleshky for evacuations and aid. The Kremlin thanked her. Zelensky gave her Ukraine's highest award. Kyiv says at least 40 people died in Monday's attack on a village, with 30 possibly trapped. Russia has not been quoted on the claim. US and European officials also discussed Ukraine's recovery funding. Meanwhile, Beijing says it is in contact "with relevant parties" about a possible Trump-Xi-Putin meeting.

**Watch:** The reported Abu Dhabi talks around 10-11 November, which Moscow has not confirmed.

*Sources: BBC, BBC, Bloomberg, Politico Europe, Al Jazeera*

### Middle East: the war's costs spread

Oil steadied late after the 8% drop, as investors bet a Democratic Congress could speed an end to the war. The Strait of Hormuz remains the central issue. The Philippines' October inflation hit 7.8%, near a four-year high, because of fuel and power costs from the conflict.

### China

Beijing is stepping up support for its stock market. The FT says ETFs commonly used by the state saw their second-highest net inflows on record. Bloomberg says China's 250 million retail investors are ending a year of disillusion after a tech frenzy.

### Africa

The Economist says the Ebola outbreak, now with new cases in Kenya and Nigeria, could be the worst ever. A British man infected in DR Congo is being flown to the UK, and the government says the risk to the public is low. In Zimbabwe, Robert Mugabe's son is due in court on 5 November after his arrest in a luxury-car smuggling probe.

*Sources: The Economist, BBC, BBC*

### Latin America

Brazil's central bank held its Selic rate at 13.75%, pausing its easing, and warned of weaker growth, faster inflation and uncertainty after Lula's re-election. Paraguay named Raúl Vera Bogado central bank chief amid a solvency crisis at a major lender. Bolivia's Supreme Court president, Romer Saucedo, fled abroad citing threats. Prosecutors say he faces at least two investigations.

*Sources: Bloomberg, Bloomberg, Bloomberg*

## Markets Close

Oil drove the day. Brent fell 8.59% to $94.70 and WTI 8.49% to $87.93. Traders priced a Democratic Congress as a push toward ending the Iran war. TTF gas ended near €85/MWh after dropping as much as 6.7%.

**Equities:** - Europe ended slightly lower: Euro Stoxx 50 -0.51%, DAX -0.45%, CAC 40 -0.34%, IBEX 35 -0.79%, FTSE MIB flat. The FTSE 100 lost 1.14%, likely on energy-heavy index weights (our inference). - In the US, the S&P 500 rose 1.58% to 7,688.62 and the Nasdaq 100 added 0.91%. The VIX dropped 20% to 16.61. - Tesla fell 4.13% and SpaceX 2.70% in ANSA's midday report.

**Rates and currencies:** The US 10-year yield fell to 4.89% and the 2-year was unchanged at 4.78%. EUR/USD rose to about 1.12 and the dollar index fell 0.37%. The BTP-Bund spread tightened to about 104 basis points.

**Other assets:** Gold gained 3.78% to $4,089 and silver 5.94%. Bitcoin rose 4.27% to about $80,650.

**Asia:** Taiex -3.59%, KOSPI -1.35% and Nikkei -1.01% on chip worries. India's Nifty gained 1.58%.

**Tomorrow:** The most exposed assets are energy producers, airlines and chemicals, which swing with crude, and European defence names after Rheinmetall's warning. Italian and euro-area bonds react to inflation prints and ECB tone. Oil depends on any Iran or Hormuz headline. The Bank of England's decision is due Thursday, and sterling is most exposed.

## Technology, Defence & Space

### SpaceX chip financing and AI after the midterms

Bloomberg says Goldman Sachs and Apollo are in talks to sell parts of a roughly $40bn chip financing deal for SpaceX. The AI boom faces

upheaval after the Democratic victory. A strategist said policy delays remain an open question, and semiconductor shares have been weak.

**Market impact:** AI-linked names are sensitive to scrutiny of AI and data-centre spending. Funding keeps flowing. Alphabet's Isomorphic Labs is reportedly in talks to raise about $5bn, and three-month-old chip startup Tenspresso is in talks at a $500m valuation. The UK consumer AI market tops £1bn a year, with Anthropic's Claude narrowing OpenAI's lead, according to Bloomberg-reported research.

*Sources: Bloomberg, Bloomberg, Bloomberg, Bloomberg*

## Semiconductors and rare earths

South Korea's September current-account surplus hit a record on chip exports. The Economist says China is expanding AI-controlled labs to speed research. Belgium's Solvay struck a rare-earths deal with supply from a Brazilian mine, which should reduce dependence on China for magnet production in Europe and the US.

*Sources: Bloomberg, The Economist, FT*

## Defence and security

Rheinmetall's delays are the main European signal. In Washington, a House China committee is pressing Air Force Secretary Troy Meink over cuts to the China Aerospace Studies Institute, saying under-resourcing could undermine understanding of Chinese military strength.

*Sources: Breaking Defense*

## Cyber

A suspected Russian cyberattack disrupted the Kyiv Independent's website. In Russia, an attack wiped cloud data at hosting provider Beget and disrupted hundreds of sites. House Democrats plan to investigate CISA cuts.

*Sources: The Record, The Record, Defense One*

## Space

NASA selected three companies for Ka-band space-relay concept work that keeps existing missions running without modifying their spacecraft.

*Sources: NASA*

## Overnight & Tomorrow

- **Asia:** Tokyo opened up 0.28% on the Democratic win. Watch whether chips recover after Wednesday's heavy falls in Taiwan (-3.59%) and Korea (-1.35%). Oil is the main cross-asset driver.
- **Ukraine:** Russian and Ukrainian delegations meet Melania Trump at the White House on Thursday. Watch for confirmation of the Abu Dhabi talks.
- **Bank of England:** The decision is scheduled for Thursday midday UK time, with a new Monetary Policy Report. I could not verify the current rate or market pricing.
- **Courts:** Robert Mugabe's son is due in court in Harare on 5 November.
- **Italy:** The Lega signature drive against Romeo, and budget amendments.
- **Ahead:** Italy's escape-clause request goes to finance ministers around 9 November. Rheinmetall's investor day is reported for mid-November.
- **Risks:** Any Hormuz headline can move oil by several dollars. Ebola in Kenya and Nigeria, and further freezer-hack claims, are slower-burning risks.

# Markets Dashboard

| Europe | Last | Day | Week |
|---|---|---|---|
| Euro Stoxx 50 | 6,144.56 | -0.51% | -0.33% |
| FTSE MIB (Italy) | 49,942.00 | -0.01% | +0.63% |
| DAX (Germany) | 25,864.62 | -0.45% | +1.07% |
| CAC 40 (France) | 8,020.31 | -0.34% | +1.69% |
| IBEX 35 (Spain) | 18,807.20 | -0.79% | -1.84% |
| FTSE 100 (UK) | 10,638.40 | -1.14% | -0.45% |

| Americas | Last | Day | Week |
|---|---|---|---|
| S&P 500 | 7,688.62 | +1.58% | -0.71% |
| Nasdaq 100 | 28,437.17 | +0.91% | -4.62% |
| VIX (US volatility) | 16.61 | -20.26% | -1.77% |
| Bovespa (Brazil) | 167,563.47 | +1.23% | -4.64% |

| Asia | Last | Day | Week |
|---|---|---|---|
| Nikkei 225 (Japan) | 62,447.47 | -1.01% | -1.30% |
| CSI 300 (China) | 4,101.33 | – | – |
| Hang Seng (Hong Kong) | 23,525.97 | +0.57% | +2.10% |
| KOSPI (South Korea) | 5,572.81 | -1.35% | -7.31% |
| Taiex (Taiwan) | 43,307.54 | -3.59% | -6.05% |
| Nifty 50 (India) | 23,810.85 | +1.58% | +4.66% |

| Rates | Last | Day | Week |
|---|---|---|---|
| US 10Y yield (%) | 4.8940 | -1.17% | -2.99% |
| US 2Y yield (%) | 4.7750 | +0.00% | +0.53% |

| Currencies | Last | Day | Week |
|---|---|---|---|
| EUR/USD | 1.1244 | +0.32% | +0.79% |
| EUR/GBP | 0.8336 | -0.07% | -0.40% |
| EUR/CHF | 0.9169 | -0.15% | -0.72% |
| EUR/CNY | 7.4781 | +0.04% | +0.56% |
| US Dollar Index (DXY) | 101.49 | -0.37% | -0.68% |
| USD/JPY | 158.26 | -0.13% | +0.27% |
| USD/CNH | 6.6703 | – | – |
| USD/RUB | 81.67 | +0.52% | +1.39% |
| USD/INR | 94.75 | +0.02% | -0.45% |
| USD/BRL | 5.4870 | +0.93% | +2.55% |
| USD/TRY | 50.04 | +0.06% | +0.43% |
| Bitcoin ($) | 80,649.06 | +4.27% | +4.47% |

| Commodities | Last | Day | Week |
|---|---|---|---|
| Brent ($/bbl) | 94.70 | -8.59% | -17.88% |
| WTI ($/bbl) | 87.93 | -8.49% | -14.45% |
| Dutch TTF gas (EUR/MWh) | 85.03 | – | – |
| Gold ($/oz) | 4,089.30 | +3.78% | +0.93% |

| Commodities | Last | Day | Week |
|---|---|---|---|
| Silver ($/oz) | 52.53 | +5.94% | -1.73% |
| Copper ($/lb) | 6.4170 | +0.60% | -3.38% |
| Wheat (c/bu) | 599.25 | -0.08% | +0.04% |

*Delayed exchange quotes, last daily close (Yahoo Finance). Prices, not policy facts.*

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